

own, your brokerage would have a champagne party using the money from your brokerage fees alone.

By investing in funds, you lower the fees you must pay for the number of companies you are exposed to. Index funds and ETFs also have lower fees in general, with Vanguard ETF fees being as low as 0.03 or 0.04 per cent at times.

Downsides to the lazy investor

That's not to say there aren't a few downsides to the lazy investor strategy: you can't tailor your investments to your ethics, and you're only getting average returns.

Can't always be ethical

With the lazy investor method you are investing in a wide range of companies across the world, which also means being exposed to certain companies you might prefer to avoid, such as Johnson & Johnson or Nestlé. Some investors in training are okay with these companies receiving such a small percentage of their asset allocation, but some investors may not be as comfortable.

It is entirely possible to swap out ETFs in your lazy portfolio for ones that align with your ethics, but also make sure they have a broad range of companies in them. For example, an ETF with 100 companies is better in terms of diversification than one with only 30.

You're getting average returns

If you make simple portfolio choices that invest in the market instead of trying to beat the market, you're spending less time worrying. But this also means you're just getting average returns.

For some people, being average isn't enough. The investor in training understands a 7 to 10 per cent annual return over the long term is a good average to aim for, but they may be enticed by other investors who make 20 or even 30 per cent returns in the short term through stock selection.
